

3.5 Accounts analysis	3.5.1 Calculating and analysing accounting ratios: • gross profit margin • operating profit margin • markup • return on capital employed (ROCE) • current ratio • acid test ratio. (Formulae for use in this qualification can be found in <i>Appendix 4</i>. Learners will be provided with these formulae in the examination.) 3.5.2 Liquidity: • the concept and importance of liquidity • comparisons with previous years and/or with other business organisations. 3.5.3 The use of financial documents: • assess the performance of the business • inform decision making.
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